STRATEGY PROPOSAL · 2026

Verdara

How we enter the European market — and why a joint venture is the right door in.

Our European demand is real, but we can't serve it from North America.

European brands are asking for Verdara's compostable packaging, and our pipeline there has tripled in a year. But shipping from our US plants makes the unit economics impossible. We need European production — the question is how to build it.

- EU pipeline reached $24M, but freight and tariffs erase the margin.
- This proposal frames three entry routes and recommends one.

The situation: a $24M EU pipeline we structurally cannot fulfill.

Our compostable lines win on performance, but they're heavy and bulky to ship. Trans-Atlantic freight plus EU import duties adds 38% to landed cost — enough to turn a healthy margin negative on every European order.

- 38% landed-cost penalty wipes out a 31% gross margin.
- Lead times of 6–8 weeks lose us to faster local suppliers.

WHY EXPORTING WON'T WORK

38%

landed-cost penalty on every European order shipped from North America — turning a healthy margin into a loss.

We have three credible ways to put production on the ground in Europe.

Each route trades capital and control differently. We can build our own plant, acquire an existing converter, or form a joint venture with a regional manufacturer that already has lines and certifications.

- Build: full control, highest capital, slowest to revenue.
- Acquire or partner: faster, but shares control and economics.

A joint venture is the only route that's fast, capital-light, and de-risked.

Build own plant.

✓ Full control · ✗ Fast to market · ✗ Capital-light

30-month build, €40M outlay — too slow for the open window.

Acquire a converter.

✓ Full control · – Fast to market · ✗ Capital-light

€28M and a year of integration risk on aging assets.

Joint venture.

– Full control · ✓ Fast to market · ✓ Capital-light

Live in 9 months on certified lines, €9M in. Recommended.

The joint venture sits where speed and capital efficiency meet.

Fast · Capital-heavy.

Acquire an existing converter outright

Slow · Capital-heavy.

Build a greenfield plant from scratch

Slow · Capital-light.

Continue exporting and absorb the margin hit

Fast · Capital-light.

Form a JV with a certified regional manufacturer

JV ECONOMICS · FIRST 24 MONTHS

The JV reaches positive contribution inside the first year.

€9M	9 mo	26%	€18M
VERDARA CAPITAL	TO FIRST SHIPMENT	BLENDED MARGIN	YR-2 EU REVENUE

PLAN · 2026–2028

The JV path to a self-sustaining European business in 24 months.

€18M

EU revenue

FROM $0 TODAY FY2028 BOARD

26%

Blended gross margin

VS -7% EXPORTING FY2028 FINANCE

51%

Verdara JV stake

CONTROLLING INTEREST GOVERNANCE LEGAL

We recommend a 51% joint venture with a certified EU converter.

FORM THE JOINT VENTURE

€9M for a controlling stake; production live in 9 months at 26% margin.

KEEP EXPORTING

Leaves $24M of pipeline unservable and cedes the market to local rivals.

EXECUTION · 2026–2027

How we stand the JV up, workstream by workstream.

WORKSTREAM	NOW (H2 2026)	BUILD (H1 2027)	SCALE (H2 2027)
Partner	✓ Shortlist of 3	– Term sheet signed	○ JV operational
Production	○ Line audit	– Tooling transfer	○ First shipment
Commercial	✓ Pipeline mapped	– Anchor accounts	○ EU sales team

✓ Shipped   – In flight   ○ Planned

SOFIA LINDQVIST · CHIEF STRATEGY OFFICER · STRATEGY@VERDARA.EXAMPLE

Europe is asking — let's build the door in.